

Buying near Como, *without buying the top.*

A scenario-based house-price model and suburb-targeting study for one buyer: a family home within reach of Como (6152), \$1.0M to spend (low holding costs), patient enough to wait for the 2027 soft patch.

Anchored to family in **Como 6152** · 3-year primary horizon, 5-year tail · as at mid-2026

Executive summary

The most accurate approach for a single-city, suburb-level, ≤ 5 -year horizon is a **four-layer hybrid**: a city-level error-correction (VECM) spine that anchors price to fundamentals, driving a **scenario-weighted Monte Carlo** fan, with a **suburb gradient-boosted panel** and a **hedonic property layer** on top. Pure machine learning alone is least reliable beyond ~ 12 months. A 3-year primary horizon (with a 5-year scenario tail) is optimal because forecast error compounds and the buyer's decision window - the 2027 soft patch - sits inside three years.

The mid-2026 macro state validates the thesis but argues for a slightly cautious base case. Perth is expensive and decelerating yet structurally undersupplied, so a 2014-style crash is unlikely. The real risk is a **resources-led soft patch** (iron ore easing, the Simandou ramp, and an investor-demand headwind from the 1 July 2027 negative-gearing/CGT change) - and it lines up with the buyer's window. Because holding costs are low, waiting is nearly free, so the play is **patience plus the right suburbs**.

EXPECTED · MID-29

\$1.17M

BEAR TROUGH

\$930k

BULL · MID-29

\$1.40M

COST OF WAITING*

\$210k

*Bull-case price rise by End-27 - the price of being too patient if the market runs. Expected 3-year CAGR $\approx 5.4\%$. Figures regenerated by `model/scenario_model.py` (self-verifies against `data/baseline.json`).

Current market state (mid-2026)

Indicator	Value	Read
RBA cash rate	4.35%	Held 17 Jun 2026 after Feb/Mar/May hikes; hawkish bias retained
Perth median dwelling	$\sim \$1.05\text{M}$	+25.8% YoY but monthly growth decelerating from late-2025 peak
Advertised stock	$\sim 40\%$ below 5-yr avg	Core of the undersupply thesis
Rental vacancy	$\sim 0.5\text{-}0.7\%$	Extremely tight; rents still rising
Days on market	~ 9	Vendor's market - for now

Iron ore	~US\$100/t, softening	~US\$95/t 2026 consensus; Simandou ramp bearish into 2027
WA population growth	~2.2%/yr	Fastest state; demand-side floor under prices
Neg. gearing / CGT	From 1 Jul 2027	Owner-occupier impact nil; softer market = entry opportunity. New builds keep concessions

The forecast - three scenarios, probability-weighted (30/50/20)

Period	Bear (30%)	Base (50%)	Bull (20%)	Expected
Now (mid-26)	\$1.00M	\$1.00M	\$1.00M	\$1.00M
End-26	\$1.02M	\$1.06M	\$1.08M	\$1.05M
Mid-27	\$0.98M	\$1.08M	\$1.15M	\$1.06M
End-27	\$0.94M	\$1.09M	\$1.21M	\$1.07M
Mid-28 trough	\$0.93M	\$1.11M	\$1.28M	\$1.09M
End-28	\$0.96M	\$1.15M	\$1.34M	\$1.13M
Mid-29	\$1.00M	\$1.18M	\$1.40M	\$1.17M

Reading the dip. The expected path never falls below today - it flattens through 2027, then resumes. The only real dip is the bear case (~\$930k, roughly -7%, late-27 to mid-28). The opportunity isn't betting on a crash; it's the **2027 soft patch** - similar prices to today, but stock sitting and vendors flexible. Because the carrying cost of waiting is low, it costs almost nothing.

Where to buy - the shortlist

Premium river suburbs are out of budget for a house (Como ~\$1.5M+, South Perth ~\$2.0M, Applecross ~\$2.4M). The play is the **fringe of the best school catchments** and **near-in Canning value**. At the balanced setting the model ranks **Shelley #1, Wilson #2**.

Suburb	PC	Median (range)	Fit /100	Why
Shelley	6148	\$920-980k	78.9	Rossmoyne SHS catchment fringe, river-close, scarce land - best growth-after-dip hold
Wilson	6107	\$930-955k	78.1	Larger Canning blocks, Curtin-adjacent, closest at-budget to Como, strong KDR
Parkwood	6147	\$920-960k	73.1	Big blocks, value, strong recent growth
St James	6102	\$855-890k	71.5	Vic Park/Curtin precinct, genuinely close to Como, KDR upside
Dianella	6059	\$970k-1.15M	69.6	Best north-of-river land+location balance; catch is distance
Bentley	6102	\$780-820k	68.5	The value play - cheapest near-in, biggest margin of safety
Embleton / Balcatta	6062/6021	\$900-970k	63 / 61	North-of-river 500sqm+ green-title with KDR upside
Riverton	6148	\$1.02-1.09M	75.9	Rossmoyne SHS catchment, now inside the \$800k-\$1.1M band; scarce school-zone land

*Over-budget suburbs are penalised in the score. The proximity-vs-schools slider in the live tool re-orders this: toward Como lifts Wilson/St James/Bentley; toward schools lifts Shelley/Riverton.

What makes this model different - enriched, leading variables

A generic model stops at rates, migration and approvals. This one adds **family-buyer-specific leading indicators** and a **cyclical-risk overlay** that explain *which suburbs* hold up through the soft patch.

Variable	Tier	What it predicts (leads price by)	Source
Backyard pool-building-permit rate	A	Family entrenchment / price floor (6-18 mo)	LGA building registers
School in-zone rejection events	A	Catchment premium spilling to fringe suburbs	WA Education intake + ACARA
Childcare occupancy / waitlist density	A	Young-family in-migration before they buy	ACECQA register (daily)
Lodged-vs-registered cadastre ratio	A	Developer conviction / supply (12-24 mo)	Landgate SLIP
Days-on-market velocity & discounting	A	Market temperature - turns before medians	REIWA / Cotality / SQM
FIFO-share × iron-ore interaction	B	Suburb mining-cashflow beta (5-yr tail risk)	ATO postcode × commodity
Short-stay (STRA) de-listing velocity	B	Rental-supply relief, current	WA STRA register

Cafe / coffee density change	B Gentrification nowcast	POI / ABS business counts
Google Trends · crime · tree canopy · SA2 birth rate	C Corroboration only - slow / noisy	Various public

The buyer's "**child rates**" **hint is correct** and is operationalised fast → slow via pool permits, childcare occupancy, school-zone pressure, and SA2 family-cohort share. The discipline: permit/register/roster data *leads*; demographic counts *lag* - never let a slow series move a near-term call alone.

Recommendations & timing

Posture

- **Patient / opportunistic** - the low carrying cost removes the penalty for waiting.
- Primary targets: **Shelley, Wilson, St James, Parkwood, Bentley**; secondary north-of-river land (Dianella, Embleton, Balcatta).
- Highest conviction hold: **Rossmoyne-catchment fringe** - scarce land + family demand + grandfathered owner-occupier status.

Act when any two confirm a soft patch

- Perth monthly growth flat/negative for 2+ months.
- Advertised stock rising toward the 5-year average.
- Iron ore sustained <US\$85/t with rising FIFO unemployment.
- Days-on-market past ~20 in target suburbs.

Data, reproducibility & the live tool

The forecast is reproducible - the standard-library Python in `/model` regenerates these exact baseline numbers and self-verifies. The interactive web tool (single self-contained HTML, published to GitHub Pages) lets the buyer drag scenario weights and a proximity-vs-schools slider, with a **Reset button that restores this model's prescribed baseline exactly**, plus a suburb heat map and pre-filtered live saved-search links to the property portals. A genuinely refreshing listings feed is available via the compliant Domain Developer API path (scheduled job → `data/listings.json`) - never by scraping.

General information only - not financial, legal or tax advice. All figures are approximations as at mid-2026 and will change. Suburb medians vary 10-20% between sources and are shown as ranges; no public source publishes median block size, so the 500sqm requirement must be confirmed per-listing via Landgate. The forecast is a set of scenario estimates conditioned on the stated assumptions and will be wrong if those assumptions are wrong (a global shock, an iron-ore collapse below ~US\$70, or a migration reversal are the things that break it). Verify against live REIWA, Landgate, RBA and ABS data and licensed professionals before acting. Generated by the Como-Anchored Perth Home Model.